

Market Failure

▼ What is market failure?

Market failure refers to when a market is not able to produce the optimal (best) outcome

i.e. Resources are not allocated efficiently

There is a deadweight loss

▼ What are the signs of market failure?

Over or under-production within a market

Over or under amount produced at the equilibrium point

Over or under-consumption within a market

Over or under amount consumer at the equilibrium point

▼ What are the reasons for market failure?

Market power

- abuse of the ability to manipulate output and prices

Information gaps

- Consumers do not have all the information
 - i.e. second hand car industry where the car might be said to be better than it actually is

Merit and demerit goods

- positive and negative consumption externalities

Externalities

- the effect of consumption/production on a third party

Public goods and common resources

- abuse of these resources

▼ How do we manage markets?

Price controls

Taxation

Subsidies

Regulation

Direct provision or use of public/private partnerships

▼ **Reasons for government market intervention**

To reduce inefficiencies when there is market failure

To redistribute resources to increase equity

To gain revenue